

Two Ways a Number Falls

The unemployment rate fell on Friday and the market read it as good news. Only one of the two possible reasons is.

THE READING

The S&P closed Friday at a record 7,757.64, up 3.58% on the week and its best since April. The VIX settled at 14.90, sixteen hundredths above the floor of its 14.74–17.88 band. The ten-year gave back eight and a half basis points on the week to 4.660%. Gold settled at \$4,399.70, up 7.13%, above the 4,331 top of its own range.

The mood is relief, and it rests on one line of Friday's employment report. Unemployment fell to 4.1% from 4.2%. Underneath it, participation dropped to 61.4%, the lowest in more than five years, because 264,000 people stopped looking for work. Household employment fell 87,000. The rate did not fall because anyone was hired. The denominator shrank.

WHAT WISDOM WOULD SAY

Daniel Kahneman and Shane Frederick gave this a name: attribute substitution. Asked a hard question, the mind quietly answers an easier one in its place, and does not notice the swap.

The hard question on Friday was whether the American labour market is strengthening. The easy question was whether the unemployment rate went down. The two have the same answer when people are being hired, and opposite answers when people are giving up. Friday priced the easy one.

This is not stupidity. The easy question had an answer at half past eight in the morning; the hard one will not have one for months, and a market has to put a price on something before it can know it. But the substitution carries a cost, and the cost is that the exposure you now hold was sized against a question nobody asked.

The genuinely dovish number was buried. Average hourly earnings rose two cents, and the twelve-month rate fell to 3.2% against 3.5% expected, the lowest since May 2021. That one supports the rally on its merits. It got a fraction of the attention.

THE RISK IT JUSTIFIES

Not a short. A composition argument about a statistic is a poor reason to fade a record close, and a market can be right about rates for the wrong reason about growth for longer than the argument survives.

What it justifies is refusing the adds. Gold above the top of its own range after a 7.13% week is not where a position is opened. Equity beta bought at a VIX of 14.90, sixteen hundredths off the floor, is the same exposure taken at the least favourable point of the band. Sit with what you already own, in the size you already have.

What would change the answer: participation stabilising in the next print, or a revision showing hiring rather than exit. In the other direction, a VIX through 17.88, or the ten-year outside 4.59 to 4.74.

Which of your positions was sized against the easier question?